TEACHER GUIDE

Cambridge IGCSE Business (0450 / 0264)

Product portfolio

3 Marketing
3.3 Marketing mix: product



A revision lesson. Pupils run a car dealership in firms of four and revise product portfolio on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

1 New model cash flow

Round 1

You have just launched a new model. You advertise it heavily, and few have sold.

What is its cash flow most likely to be?

- **A** Positive: no advertising needed
- **B** Positive: sales are at a peak
- **C** Negative: costs exceed sales
- **D** Zero: nothing has sold

ANSWER

✓ Negative: costs exceed sales

Why: At launch, spending on stock and adverts is high and sales are low.

2 Extension strategy

Round 1

Sales of an old model fall each month.

Which two are extension strategies?

- **A** Add new features or colours
- **B** Raise its price sharply
- **C** Sell it to a new group of buyers
- **D** Stop advertising it
- **E** Withdraw it at once

ANSWER

✓ Add new features or colours
✓ Sell it to a new group of buyers

Why: Changing the product or finding new buyers keeps its sales going.

3 Life cycle in order

Round 2

Four moments in the life of one model.

Put them in life-cycle order, first to last?

- **A** Sales rise fast; rivals copy it
- **B** Sales high but flat; many rivals
- **C** Sales fall; buyers want newer models
- **D** Few buyers know it; heavy adverts

ANSWER

1. **Few buyers know it; heavy adverts**
2. **Sales rise fast; rivals copy it**
3. **Sales high but flat; many rivals**
4. **Sales fall; buyers want newer models**

Why: Introduction, growth, maturity, decline.

Topic tasks

4 Sales growth %

Round 2

Sales of your newest model.

Growth from year 2 to year 3, as a %?

Sold in year 1	**50 cars**
Sold in year 2	**190 cars**
Sold in year 3	**285 cars**

ANSWER

50%

(285 − 190) ÷ 190 × 100 = 50%

Why: Sales still rising fast: the model is in its growth stage.

5 Extend or withdraw

Round 3

Your best-seller's sales are falling, but buyers still like its looks.

What should you do, and why?

A Extend it: new colours and kit

B Withdraw it now

ANSWER

✓ Extend it: new colours and kit

Why: Buyers still like it, so a refresh can extend its life.

6 Stage and profit

Round 3

Your best-selling model's sales are high but no longer rising. Rivals sell similar models.

Which stage is it at, and what is profit like?

A Maturity: profit near its peak

B Decline: profit near its peak

C Introduction: profit near its peak

D Growth: losses as costs are high

ANSWER

✓ Maturity: profit near its peak

Why: High, flat sales with many rivals is maturity, when profit is usually highest.

Final questions

Each pupil answers 6 final questions on product portfolio. They come from these 13 questions.

Then each pupil writes one short answer: “Explain why sales are low in the introduction stage.”

1 A dealership lets customers reserve a test drive through its website. Which element of the marketing mix is most directly changed?
✔ **Place: the service can now be reached online**

2 A completely new vehicle-care service has just launched and few customers know it exists. Which product life-cycle stage is this?
✔ **Introduction**

3 An established service package is losing sales. Which action is a product extension strategy?
✔ **Add mobile collection and relaunch it**

4 A dealer promises premium service but has poorly trained staff and unreliable booking. What is the main marketing problem?
✔ **The mix does not match the premium position**

5 Promotion promises same-day booking, but the website shows no slots and a different price. What should the dealer fix first?
✔ **Make availability, price and the promise consistent**

6 The Sales lead sets a premium price but promotion promises “the cheapest basic option” and service is minimal. What is wrong?
✔ **Price, promotion and service clash**

7 A van model has been on sale six years. Sales have fallen three years running and a replacement is announced. Which life cycle stage is this?
✔ **Decline**

8 A new electric model has just been launched. What is usually true at this introduction stage of its life cycle?
✔ **Sales are low and promotion costs are high**

9 Sales of a popular hatchback are rising fast, and more buyers ask for it every month. Which stage of the product life cycle is it in?
✔ **Growth**

10 Sales of an older diesel model have fallen for three years in a row. Which stage of the product life cycle is it in?
✔ **Decline**

Final questions

11 A family car has sold well for years. Its sales are high but have stopped rising. Which stage of the product life cycle is it in?

✔ **Maturity**

12 Sales of a small hatchback are falling. Which of these is an extension strategy for it?

✔ **Launching a new version with extra features**

13 Why does a car maker use an extension strategy on a model whose sales are falling?

✔ **To keep sales going for longer**